

Canva Pty Ltd.

Pre-IPO Positioning & Competitive Defensibility vs. Adobe, Figma, and AI-Native Design Entrants

Prepared for: Investment Committee | Date: August 2, 2026 | Basis: Public-source research only — no data-room access or S-1 exists at time of writing

1. Executive Summary

- Scale & economics: Canva closed 2025 at ~\$4.0B ARR (+35% YoY), 265M MAU, 31M paying subscribers, and eight consecutive years of profitability — a rare combination of growth and discipline for a company of this size.
- Valuation is no longer cheap, but it's also no longer a clear premium: the last broadly-corroborated secondary priced Canva at ~\$42B (Aug 2025), or ~10.5x ARR — which now sits roughly in line with Figma's post-correction public multiple (~10-11x revenue), not at a takeout premium to it.
- The competitive picture has bifurcated into two threats moving at different speeds: (1) Adobe closing the ease-of-use gap while retaining an AI-quality and asset-depth edge, and (2) free, foundation-model-native tools (Google Stitch, and general LLMs themselves) that could commoditize entry-level design over 3-5 years — a structurally different and harder-to-defend threat than Adobe.
- Canva's answer is an aggressive buy-and-bundle strategy — 8 acquisitions since March 2024 (Affinity, Leonardo AI, MagicBrief, Cavalry, MangoAI, Simtheory, Orto, Doohly) — repositioning from "design tool" to "AI-native marketing operating system." This is the right strategic instinct but adds real integration and execution risk into an IPO window.
- Recommendation: proceed with a modest, structured pre-IPO secondary position now, sized deliberately small, with capital reserved to size up only once audited financials (via an S-1) resolve the margin, retention, and AI-dependency questions that public sources cannot answer. See Section 4.

2. Situation Analysis

2.1 Company Snapshot

Figures below are triangulated across multiple press and data-provider sources (Sacra, TechCrunch, ARR Club, Tracxn, PitchBook). Where sources materially disagree, both figures are shown — this dispersion is itself a diligence flag for a private company with no audited public disclosures.

Metric	2024	2025	Note
Monthly active users	~220M	265M (+20% YoY)	Consistent across sources
Paying subscribers	~21M	31M+	Consistent across sources
ARR	~\$2.7–3.0B	~\$4.0B (+35% YoY)	Company-disclosed via TechCrunch
B2B ARR (25+ seats)	~\$250M	~\$500M (+100% YoY)	Company-disclosed
Last valuation (secondary)	\$32B (Oct '24)	\$42B (Aug '25)	Some outlets cite \$48–65B in mid-2026 — unverified, treat with caution

Metric	2024	2025	Note
Profitability	Profitable	8th consecutive profitable year	No disclosed margin — key diligence gap
Headcount	~5,000–5,500	5,000–10,700 depending on source	Wide dispersion — data-quality flag
IPO signal	Hired ex-Zoom CFO	COO cites 2027 target; some say H2 2026	No S-1 filed as of Aug 2026

2.2 Market Sizing — TAM/SAM/SOM

Published "graphic design software" market-research reports size the category at only \$10–13B in 2026, growing ~9–11% CAGR to roughly \$20B by the early 2030s. Taken at face value, Canva's own \$4B ARR would already represent 30–40% of the entire reported category — implausible for a company still adding tens of millions of new users a year. This is a classic case of a market-research category boundary (packaged desktop design software) failing to capture a platform-scale competitor. Canva is functionally no longer competing only in "design software" — its 2025–26 acquisitions (Ortto for marketing automation, Simtheory for agentic AI) show it is now competing in the broader visual-content-and-marketing-operations stack.

Reframing the addressable market as "AI-native visual content creation + marketing operations" — design software (~\$11B) plus marketing automation (~\$8–10B) plus the emerging agentic-AI-for-marketing layer — plausibly puts Canva's real SAM in the \$40–60B+ range by 2028. This is an educated inference, not a sourced figure, and should be validated in diligence rather than relied upon.

2.3 Competitive Landscape (Five Forces read)

Force	Assessment	Implication for Canva
Threat of new entrants	High, rising	Foundation-model labs (Google, OpenAI, Anthropic) can generate marketing-grade visuals from a prompt with no design skill; the technical barrier to a "good enough" AI design tool has largely collapsed.
Buyer power	Rising (enterprise) / Low (SMB)	Enterprise buyers now routinely evaluate Canva vs. Figma vs. Adobe vs. point AI tools; the SMB/prosumer long tail remains price-insensitive and habit-locked.
Supplier power	Moderate	Canva's generative features lean on third-party models (Gemini, OpenAI, Flux); Leonardo AI was acquired partly to reduce this dependency, but it is not eliminated.
Threat of substitutes	High	26M+ ChatGPT conversations already reference Canva — a double-edged signal: strong referral channel today, but the same models' native image/video capability is the long-run disintermediation risk.
Rivalry intensity	Intensifying	Adobe, Figma, and Canva are converging on the same "AI-native creative operating system" positioning from three different starting points simultaneously.

2.4 Head-to-Head: The Three Fronts

Adobe (Firefly / Express):

- Has closed most of the template and ease-of-use gap with Canva through 2025–26 product updates, and independent reviews consistently rate Firefly's image generation quality above Canva's Magic Studio for complex prompts, crediting Firefly's training on licensed Adobe Stock content as both a quality and a commercial-safety advantage.
- Adobe's real moat is ecosystem lock-in (Creative Cloud, 30,000+ fonts, 200M+ Stock assets, Photoshop/Illustrator round-tripping) rather than price — Express Premium undercuts Canva Pro (\$9.99 vs \$15/mo) but converts best among users already inside Adobe's world.

Figma:

- Went public July 2025 at \$33/share, popped to \$142.92, then collapsed roughly 80–85% from peak to trade around \$19–24/share by early-to-mid 2026 — despite crossing \$1B revenue and posting 41% YoY growth with 136% net dollar retention. The collapse was driven largely by decelerating forward guidance and the emergence of Google Stitch as a free AI-native competitor, not by weak fundamentals.
- This is the single most important data point for this memo: it demonstrates that public markets will re-rate a fundamentally strong, fast-growing design platform violently and fast once an AI-native free competitor enters its territory — a direct preview of first-year IPO risk for Canva.

AI-native entrants (Google Stitch and general LLMs):

- Google Stitch (relaunched March 2026) is free, generates UI and marketing-adjacent visuals from prompts or voice, exports directly to code (React, Flutter, HTML/CSS) and to Figma — and single-handedly cut Figma's market cap by double-digit percentages within days of its March 2026 update.
- Stitch is currently narrower than Canva (UI/prototyping vs. Canva's marketing-content breadth), so it is not yet a direct substitute for Canva's core use case — but it establishes the technology and pricing pattern (free, foundation-model-native, code-integrated) that Canva has to assume will eventually target its category too.

2.5 SWOT Summary

Strengths	Weaknesses
265M MAU across 190 countries; profitable at scale (rare in high-growth tech); fastest-moving M&A integration engine in the category; strong and growing LLM-referral acquisition channel; free Affinity as a wedge into the professional-designer segment Adobe has long owned.	Heavy dependence on third-party foundation models for core generative features; opaque financials with materially inconsistent public figures (headcount ranges from 5K to 17K depending on source); 8 acquisitions in ~2 years creates real integration and focus risk; IPO timeline has already slipped from 2025 to 2026 to a stated 2027 target.
Opportunities	Threats
B2B/enterprise ARR still only ~12–13% of total but growing 100% YoY — long runway; Orto + Simtheory bundle could materially lift ARPU if agentic marketing-ops workflows land well; the LLM-referral channel is structurally new and likely underpriced by competitors right now.	Google Stitch and free foundation-model tools eroding the entry-level and prototyping use case; Adobe's superior AI image fidelity and asset/font depth pulling brand-conscious enterprise accounts; Figma's post-IPO collapse is a live case study in how fast the market re-rates design platforms once an AI-native competitor appears.

3. Strategic Options

Option A — Take a position now via secondary market (pre-IPO)

Thesis: lock in exposure to a profitable, 35%-growing platform at a multiple that, post-Figma-correction, no longer looks obviously rich relative to the closest public comp.

Trade-offs: illiquid; secondary purchasers typically get no board or information rights; execution risk on Canva's acquisition-heavy strategy; the price could still re-rate down further if Adobe or Stitch erode growth before any listing event.

Option B — Wait for the S-1 and buy in public markets post-listing

Thesis: avoid the illiquidity and information asymmetry of a pre-IPO secondary; Figma's trajectory (up 250% on debut, then down ~80% within months) shows meaningful entry-point volatility is likely in Canva's first 6–12 months as a public company, and patient capital could get a materially better entry price than day-one buyers did with Figma.

Trade-offs: forgoes any further pre-IPO step-up; timing risk given the IPO date has already slipped twice; there is no guarantee of a Figma-style post-IPO drawdown — it could also hold or run up.

Option C — Pass for now

Thesis: public-source diligence surfaces real red flags — inconsistent headcount and revenue reporting across data providers, undisclosed margins, heavy reliance on third-party foundation models, and an unresolved structural threat from free AI-native tools — that argue for waiting until audited financials exist.

Trade-offs: full opportunity-cost exposure if the roll-up strategy works and Canva becomes the dominant AI-native creative platform, the way early Figma backers were rewarded before its post-IPO volatility.

4. Recommendation

Proceed with Option A, but in a small, structured pre-IPO tranche — not a full allocation. This is a deliberate stance, not a hedge: the fundamentals (profitability, 35% growth, a growing enterprise motion) justify exposure now, but the data-quality gaps in public reporting and the unresolved AI-native threat justify keeping the position small until an S-1 resolves the unknowns.

- Size the initial tranche so a full write-down would not be consequential to the portfolio — treat this as a call option on the roll-up strategy working, not a core position.
- Reserve capital explicitly to add at or after listing, using Figma's post-IPO price path (not its debut multiple) as the working entry-price anchor.
- Structure the secondary purchase with information-rights language where the broker/counterparty will allow it, and avoid any structure that locks up capital past a reasonable window around the stated 2027 IPO target.

What would have to be true for this to fail: (a) Adobe's AI-quality and ecosystem advantages pull a disproportionate share of Canva's highest-value enterprise accounts before IPO; (b) a Stitch-equivalent free tool emerges for Canva's core marketing-content use case (not just UI/prototyping); (c) the acquisition spree proves to be a distraction rather than a moat, dragging margins or growth; or (d) IPO timing slips again into a weaker macro window, compressing the exit multiple further. Each is independently plausible and should be explicitly tracked, not assumed away.

5. Risks & Mitigations

Risk	Likelihood	Mitigation
Multiple compression at/after IPO (Figma precedent)	Medium-High	Small initial tranche; reserve capital for post-listing entry at a de-risked multiple

Risk	Likelihood	Mitigation
AI-native free tools erode core use case (not just UI/prototyping)	Medium	Track Stitch-style entrants quarterly; make continued investment conditional on Canva's non-UI moat holding
Opaque financials / data-quality gaps	High (confirmed)	Do not scale position until an S-1 or audited data-room access resolves margin, NRR, and cash-burn questions
Integration risk from 8 acquisitions in ~2 years	Medium	Monitor churn/attrition signals from acquired-company leadership and product-unification timelines
Foundation-model dependency (Gemini/OpenAI/Flux)	Medium	Track Leonardo AI's share of Canva's generative output over time as a proxy for reduced third-party dependence
IPO timing slippage into a weaker macro window	Medium	Structure any pre-IPO position without long lock-ups tied to a specific IPO date

6. 90-Day Next Steps

Window	Action
Weeks 1–2	Establish or activate a secondary-market broker relationship (e.g. via existing LP ties to Blackbird, T. Rowe, or Fidelity) to assess realistic allocation size and pricing
Weeks 2–4	Push for whatever financial disclosure is obtainable pre-S-1: gross margin, net dollar retention, CAC/LTV, cash burn tied to the acquisition spree, and terms of foundation-model licensing dependencies
Weeks 4–6	Build a three-scenario comparative multiple model — bear (6x ARR, Figma's post-crash trough), base (10x ARR, current secondary), bull (15x ARR, pre-Figma-crash design-software premium) — to stress-test entry price
Weeks 6–8	Commission independent hands-on product testing of Magic Studio vs. Adobe Firefly vs. Google Stitch to verify third-party claims of an Adobe AI-quality edge
Weeks 8–12	Finalize transaction structure (direct secondary block, SPV, or fund-of-funds exposure), set the initial tranche size, and define explicit trigger conditions for a second tranche at or after S-1 filing

This memo is based entirely on public secondary-source research (press coverage, data providers such as Sacra, Tracxn, PitchBook, ARR Club, and product-review sites) as of August 2, 2026. Canva is a private company with no audited public financial disclosures; several figures cited by different data providers materially disagree (notably headcount and the most recent secondary valuation). Nothing in this memo should be treated as a substitute for primary diligence, and it does not constitute financial or investment advice.